Colombia
Superintendence of Industry and Commerce

I. Powers of the Superintendence of Industry and Commerce in Matters of Free Economic Competition

The Superintendence of Industry and Commerce (SIC), through the Deputy Superintendence for the Competition Protection, has the primary function of promoting and protecting free economic competition by exercising *ex ante* and *ex post* functions. On one hand, the Deputy Superintendence conducts *ex ante* or preventive control through the Working Groups of Competition Advocacy, Business Integration, and Compliance Directorate. The first aims to prevent market competition restrictions by reviewing draft administrative acts that regulatory authorities intend to issue. The second is responsible for analyzing business integration operations that may affect free competition. Finally, the Compliance Directorate carries out, among other actions, dissemination, promotion, and training activities related to fostering and building a culture of compliance in matters of free economic competition. Additionally, this Directorate also assists companies in the effective adoption of compliance programs.

In general, *ex ante* control focuses on implementing preventive measures to proliferate a culture of compliance with free economic competition in Colombia. Within the framework of these measures, the SIC seeks to generate awareness among companies and consumers regarding the importance and benefits of adhering to free economic competition policies, as well as ensuring the free participation of companies in the market, consumer welfare, and economic efficiency.

On the other hand, there is *ex post* or corrective control carried out through the Restrictive Competition Practices, Competition Promotion and Protection, and Elite Anti-Collusion Working Groups. This corrective control is undertaken when the Authority has evidenced the possible commission of behaviors that restrict free economic competition in the market. In this sense, these groups are responsible for conducting administrative investigations to determine whether behaviors contrary to the free economic competition protection regime have occurred, such as restrictive competition agreements or abuse of dominant market positions.

II. Computational Activities Related to the Collection, Preservation, and Analysis of Digital Evidence

The SIC considers it important to highlight the computational activities aimed at collecting, preserving, and analyzing digital evidence related to potential restrictive competition practices. To carry out these activities, specialized tools are used to extract information from devices (computers, emails, cell phones, and/or tablets) identified during unannounced inspections (dawn raids) conducted by the SIC. After collecting the information, the SIC uploads the data into specialized software licensed to access the information and search for words or terms that interrelate the evidence, which may verify potentially anticompetitive behaviors. It is important to note that this software facilitates the visualization of chats, emails, images, among other types of files.

To illustrate the computational process related to the collection, processing, and analysis of various digital evidence, the following elements are presented:

- **Collection:** IT personnel can collect data during unannounced inspections by copying or creating forensic images of the digital data. IT personnel ensure data integrity and, through the chain of custody, the authenticity of the evidence. Additionally, hash values are created to ensure integrity and help verify the authenticity of the copy concerning the original.
- **Processing and Preservation**: After the SIC copies the information, it is processed and subsequently investigated to find evidence. Access to the collected information is restricted, and only the case team can analyze it upon an access request.
- **Analysis:** Following the principal investigator's guidelines and using digital tools, a preliminary filter is applied to the information. The information is filtered by creating tags and identifying important information for the case hypothesis. These results will be subject to further analysis by other members of the investigation team.

III. Projects Related to Technological Tools that Contribute to the Processing and Analysis of Information

Additionally, the SIC has implemented projects related to technological tools. These projects are aimed at: **(i)** improving the capabilities for detecting potential anticompetitive behaviors, **(ii)** increasing efficiency in examining large volumes of structured and unstructured data, and **(iii)** better allocating human resources.

Currently, these tools are: Sabueso, Inspector, Sherlock, and Búho. As the SIC expands its monitoring capabilities and refines methods for detecting structural and behavioral anomalies, the likelihood of generating timely actions for the protection and promotion of free economic competition increases.

A brief description of the tools that have been developed is provided below.

1. SHERLOCK

Developed to reduce the time required for mechanical reviews conducted by the Elite Anti-Collusion Working Group on datasets stored in the public procurement platforms SECOP I and SECOP II.

This tool has been generating alerts regarding potential anticompetitive practices in government contracting since December 2023. It facilitates work by generating alerts and issuing three different types of alerts to better classify the data it produces.

2. SABUESO

A data analytics tool designed to detect price behaviors in products sold by large retailers and airline tickets offered by market participants in passenger aviation.

The Sabueso-Large Retailers data analytics tool allows monitoring of various products offered by different retailers (also known as chain supermarkets) and generates alerts of potential anticompetitive practices. Previously, it monitored one chain supermarket, and it is currently monitoring five.

Additionally, the new Sabueso-Flights tool enables monitoring of airline tickets offered by airlines and metasearch engines, generating possible alerts of potential anticompetitive practices. In 2023, it analyzed the behavior of over 9 million airline ticket data across 76 domestic routes, generating 180 alerts.

3. INSPECTOR

A data analytics and artificial intelligence tool that generates alerts for the Competition Advocacy Group regarding regulatory projects that can be examined from the perspective of free economic competition.

As of December 2023, this tool monitors 69 government entities. Several improvements have been made to notifications, including: (i) the quality of the title sent within the notification of new regulatory projects, (ii) increased proportion of notifications with titles, (iii) the notification sent to the official now includes publication and comment closing dates for each regulatory project, (iv) improved precision and accuracy of free competition impact considerations included in the notifications issued by the tool, and (v) notifications issued by the tool include the regulatory project as an attachment.

4. BÚHO

Its objective is to support and facilitate the identification of news related to potential violations of the free economic competition regime in various digital media outlets. The BUHO application sends daily notifications to different officials of the Delegation for the Protection of Competition with news found in La W, RCN Radio, and Las 2 Orillas (major media newspapers in Colombia). The goal is to identify news that may indicate behaviors contrary to free competition, considering that the SIC has the authority to initiate investigations both upon request and *ex officio* against market agents.

5. SISEC

In collaboration with the Information Technology Office (OTI), the implementation of the Monitoring and Compliance System (SISEC) was developed. The purpose of this enhancement is to ensure transparency and efficiency in monitoring activities, data consolidation, and tracking compliance with guarantees, conditions, orders, and instructions from the SIC.

The scenarios in which the Deputy Superintendence for Protection of Competition has incorporated computational competencies to facilitate the fulfillment of its functions involve **(i)** the adaptation of its daily processes and **(ii)** the creation and use of more sophisticated technological tools. These include five programs that feature advanced programming and even artificial intelligence. Each of these tools is focused on a specific task or mission of the Deputy Superintendence or a specific area within it.